

2.5 Interim Audit

Interim audit is an audit which is conducted in between two annual audits to find out interim profits to enable the company to declare an interim dividend. It involves complete and detailed examination of transactions and review of records and accounts upto the date of interim audit. It is an audit which is conducted in between two balance sheet audits. It is conducted for a specific period with an object of declaring interim dividend or to determine value of shares at a certain date.

2.5.1 Features or Characteristics

1. It is an audit which is conducted in between two annual audits i.e., audit for a period of six months or half yearly audit.
2. It involves complete and detailed examination of transactions and accounts upto the date of interim audit.
3. It is conducted for a specific period with an object of declaring interim dividend or to determine value of shares at a certain date.
4. The objective of conducting interim audit is to know the reliability and accuracy of financial statements of a business for a part of the year.

2.5.2 Advantages

1. **Quick Detection of Errors and Frauds:** Errors and frauds can be detected quickly and easily.
2. **Helps in making Improvement:** It helps the management to assess the financial position of business for a part of the year. Any deficiency noticed during first part of the year can be rectified during later part of the accounting year.
3. **Helps in Publication of Interim Results:** Interim audit helps in finalisation of interim results for the purpose of declaring interim dividend.
4. **Early Completion of Annual Audit:** It helps the auditor to complete the annual audit within a short period and submit the report as early as possible.

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